

FEDERAL MARITIME COMMISSION

Office of the Administrative Law Judges

HP LOGISTICS Co., LTD., *Claimant*

v.

CITI FREIGHT LOGISTICS INC. AND BEST INTERNATIONAL
CARGO INC. *Respondents*.

DOCKET NO. 2025(I)

Served: August 7, 2025

BEFORE: Theresa DIKE, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

Claimant HP Logistics Co., Ltd. (“HPL”) initiated this proceeding by filing an informal complaint at the Federal Maritime Commission (“FMC” or “Commission”), alleging that Respondents Citi Freight Logistics Inc. (“CFL”) and Best International Cargo Inc. (“BIC”) overcharged it by over \$23,600 and that their actions caused \$2,295.00 in demurrage and detention charges to accrue on Claimant’s shipment, in violation of 46 U.S.C. §§ 40501, 41102(c) and 46 C.F.R. § 545.4 of the Commission’s Regulations.² Claimant further alleges that Respondents failed to adhere to tariff rate publication requirements or NVOCC Negotiated Rate Arrangement guidelines. Claimant requests reparations in the amount of \$25,895.

A. Background and Procedural History

Claimant, HPL, a Vietnam based freight forwarder, was hired by the owner of a Hitachi ZX 800 excavator purchased in the United States to arrange the transportation of the excavator to Vietnam. HPL then engaged Respondents to dismantle and ship the excavator Ex Works³ from Tennessee, United States to Haiphong, Vietnam. The parties initially exchanged messages setting a rate of \$43,200, based on Claimant’s description of the excavator as “1 standard machine” and

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

² Claimant failed to allege a Shipping Act violation in its Claim. In a request for additional information Claimant was asked to specify the sections of the Shipping Act it alleges Respondents violated. Claimant then named the above sections.

³ “Ex Works” is one of 11 Incoterms (International Commercial Terms), or standardized international trade terms published by the International Chamber of Commerce. It describes an arrangement in which a seller makes a product available at a designated location and the buyer pays the costs to ship the product to the intended destination.

based on a list of machine parts to be shipped with the excavator provided by Claimant. Respondents subsequently learned that there were additional parts to be shipped, with no packing list, dimensions, or weight information provided, and increased the charges for their service. Claimants initially asked to cancel the contract but opted to proceed when Respondents offered them the option of either cancelling the contract and paying for services already performed, or paying an additional \$11,000 to \$12,000, which “may be less or more” if Claimant chose to have the extra parts transported along with the excavator.

Prior to the loading of the excavator for shipping, Claimant sent a payment of \$25,000. Four days after the excavator was shipped, Respondents sent a final invoice to Claimant listing total fees of \$77,800. Claimant contested the charges, asserting that it should not have to pay any amount above the original quote plus \$11,000. The parties were unable to resolve their dispute as to the amount owed, but Claimant paid the remaining balance to Respondents to obtain the original bill of lading needed to secure the release of the shipment. By this point, demurrage charges had accrued on the shipment. Claimant subsequently initiated this proceeding, alleging that Respondents had overcharged it by \$23,600 and caused it to accrue \$2,295 in demurrage and detention charges.

On December 23, 2024, the Secretary of the Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), advising Respondents of the Claim and instructing them to file a response by January 17, 2025, and indicate whether they consented to the use of the Commission’s informal procedures at Subpart S for adjudication of the Claim. Notice at 1. The Secretary assigned this proceeding to the Chief Administrative Law Judge (“Chief ALJ”) to designate a small claims officer (“SCO”) to adjudicate the proceeding. Along with the Claim, Claimant also filed a memorandum and exhibits in support of its claim (“Claim Memo”).

On January 15, 2025, Respondents filed a joint response (“Answer”) and consented to the use of the informal procedures. On February 10, 2025, the Chief ALJ assigned this proceeding to the undersigned for adjudication.

Pursuant to 46 C.F.R. § 502.304(a) and (e) of the Commission’s Rules of Practice and Procedure, which authorize the SCO in a Subpart S proceeding to request, if deemed necessary, additional documents or information from the parties, on March 6, 2025, a Request for Additional Documents and Information (“Request for Supplemental Information” or “RSI”) issued, directing the parties to provide certain information and documents by April 4, 2025, and permitting any party wishing to file a response to the opposing party’s submission to do so by April 18, 2025. On April 2, 2025, Claimant submitted its responses to the request (“C. Supp. Info”) and on April 3, 2025, Respondents submitted their responses to the request (“R. Supp. Info”). Respondents also submitted a reply to HPL’s response on April 15, 2025 (“R. Reply”) and Claimant submitted a reply to Respondents’ response on April 17, 2025 (“C. Reply”). The record is now ripe for a decision.

As discussed in greater detail below, it is found that Respondents did not violate sections 41102(c) of the Shipping Act, but that Respondent BIC violated 46 U.S.C. § 40501(a)(1) of the Shipping Act as well as 46 C.F.R. § 520.3(a) of the Commission’s Regulations. No reparations are awarded. No violations are found as to Respondent CFL.

B. Argument of the Parties

1. Claimant's Arguments

Claimant alleges that Respondents “engag[ed] in unjust or unreasonable practices related to freight charges by invoicing and demanding excessive amounts without prior agreement” in violation of section 41102(c). C. Supp. Info, pg. 2. Claimant states that it entered into an agreement with Respondents to dismantle and ship the excavator against a quoted lump sum of USD 43,200, however, they unilaterally increased the costs by an additional \$25,895 and shipped the excavator without prior agreement. C. Supp. Info, Synopsis pg. 1⁴. Claimant explains that on May 26, 2024, it agreed to a price increase of \$11,000 to ship the extra parts, on top of the original \$43,200 quote, equating to a revised total of \$54,200. C. Supp. Info, pg. 1. However, on August 13, 2024, “an unexpectedly exorbitant invoice was received from CFL via a BIC email” totaling \$77,800. C. Supp. Info, pg. 3; Claim Memo, pg. 1. Claimant notes that the August 13, 2024, invoice and the difference vs. the agreed amounts, break down as follows:

Job	Agreed	Invoiced	Difference
Ocean Freight	43,200	45,800	2,600
Extra Part	11,000	15,000	4,000
Washing	N/A	7,000	7,000
Dismantling (Hard Pin)	N/A	10,000	10,000

C. Supp. Info, Synopsis pg. 2.

Claimant asserts that Respondents confirmed the final rate of \$54,200 before they loaded the excavator for shipping, and it “did not receive any emails containing information about the sudden increase in charges before the vessel departed. So the invoices sent after the vessel departed HPL never agreed [to].” C Reply, pg. 1. Claimant contends that it incurred the additional charges “because the respondents failed to provide clear and accurate billing information, in violation of Section 40501 of the Shipping Act. C. Supp. Info, pgs. 1 and 2. It adds that Respondents also violated 46 C.F.R. § 545.4 “[f]or failing to maintain transparency in shipping practices and charges.” C. Supp. Info, pg. 2, C. Reply, pg. 1. Claimant opines that Respondents, “two entities – each holding separate FMC licenses – are engaging in business in a manner that suggests collusion and potential price-fixing, which may be in violation of antitrust laws.” C. Supp. Info, pg. 3.

Claimant states that it attempted to resolve this matter through the Commission’s Office of Consumer Affairs and Dispute Resolution Services (“CADRS”) but Respondents “threatened us if we did not stop claiming via FMC they would hold our cargo despite our full payment, it

⁴ The parties did not always include page numbers in their submissions; in instances where a submission is unnumbered, the decision uses, as an example, “page 1” to refer to the first page of the submission, “page 2” for the second page of the submission, etc. For unnumbered PDF documents, the decision uses the number assigned in the PDF screen for that document.

led to DEM DET surcharges of nearly USD 2295 in Vietnam when we picked up the shipment.” Claim pg. 1; Claim Memo pg. 3. Claimant notes that it paid the full \$77,800 under protest and duress (including the \$23,600 difference vs. agreed price) – and \$2,295 in demurrage and detention – in order to secure the release of the containers. Claim, pg. 2; C Reply, pg. 1.

Further, Claimant disputes the validity of the additional charges, asserting that “the respondents are covering up [the charges.] I do not know why [the] washing charges [for the excavator] are \$7,000 if they just had to power wash it.” Claimant asks that Respondents be required “to show their bank statement to prove that they have paid these invoices to their contractors [because s]ometimes these [invoices] are fabricated, and [the contractors] charge less.” C Reply, pg. 2. It asserts, in addition: “What is important is that any rate be agreed [upon] before they invoice us[,] if it is not agreed [upon] they should not do the job. The respondents, CFL/BIC moved from high cubes to open top because they didn’t have the proper equipment to load high cubes and that was not our mistake.” C Reply, pg. 2. It alleges moreover, that “the respondents imposed unreasonable charges – without adherence to FMC rate filing or any NRA guidelines – and did so after the vessel had already departed.” C. Supp. Info, pg. 2.

Claimant seeks a refund of what it contends is a \$23,600 upcharge and the VND 57,365,053 (\$2,295 when converted to dollars) it paid for demurrage and detention charges, for a total of \$25,895. C. Supp. Info, pg. 1.

2. Respondents’ Arguments

Respondents assert that their actions were conducted in good faith, in compliance with contractual agreements, and in adherence to industry practices and relevant regulations. Answer, pg. 2. They explain:

We received this query on May 16 from HPL with no information about the machine’s condition. HPL agreed to our price and gave the go-ahead for the shipment. As we started contacting the shipper, we discovered additional parts needed to be picked up, but no dimensions or weight were provided by the seller, making accurate cost estimation impossible.

Additionally, upon inspecting the machine at the site, we found it to be extremely dirty and unsuitable for shipping without cleaning. This crucial detail was not disclosed to us beforehand.

On May 25, 2024, CFL issued a quote based on the available information. The quote was subject to conditions, including potential extra charges due to unknown machine conditions and additional components. We advised Jasmine (HPL) that extra charges would apply if additional dismantling time was needed. We also informed their customer, KY, about these potential costs and gave him the option to cancel the deal. KY was unhappy with HPL and wanted to bypass them, but we refused his request.

On June 7, Jasmine emailed us requesting that we provide all the charges once everything was completed. We complied with this request and sent the final invoice once the cargo was loaded.

R. Supp. Info, pg. 1.

Respondents maintain that although the final invoice exceeded their original quote, they informed Claimant of the possibility of the price increase ahead of time, and that Claimant's omissions and lack of detailed site-specific information directly contributed to increased costs and the necessity to make adjustments to the shipping plan. Answer, pgs. 2-4; R. Reply, pg. 3; and R. Supp. Info, pg. 3. Further, Respondents aver that the emails and invoices in the record "demonstrate that HPL was informed of potential cost escalations and chose to proceed with the project despite having options to cancel." Answer, pg. 4. According to Respondents:

While HPL did provide the basic invoice from Ritchie Bros. indicating the make, model, and year of the equipment, this information alone was insufficient for accurate planning and quoting. Critical shipping details—such as the actual condition of the machine, the presence of additional unlisted parts, and accurate dimensions and weight – were never disclosed at the time of arrangement. . . . As later discovered during site coordination, extra parts were present and the machine required significantly more dismantling and handling than originally expected. These undisclosed details materially affected labor, equipment, and container requirements. The omissions by HPL and lack of detailed site-specific information directly contributed to increased costs and adjustments in the shipping plan.

R. Reply, pgs. 2-3.

Respondents state that on multiple occasions they informed HPL of various factors that could increase the price, pointing in particular to a May 26, 2024, email they describe as "outlining all anticipated challenges including dismantling, extra labor, crane requirements, container adjustments, and missing information . . . [and] transparently explain[ing] the possibility of additional charges, including the USD 11,000, due to the unknown condition and additional parts of the machine." R. Reply, pg. 2. Respondents argue that their communications with Claimant in July 2024 "clearly stated that the quoted amount was preliminary" and that they "explicitly mentioned that final charges would be issued once the machine was dismantled, loaded, and containerized, in line with HPL's prior request (made on June 7) to provide a full cost summary only after job completion." R. Reply, pg. 2. (bold omitted).

Respondents state that they informed Claimant on July 17, 2024, that they were loading open-top containers instead of high-cube containers, although the original quote was based on high-cube containers. R. Supp. Info, pg. 1. Respondents also aver that the charges on the shipment "were primarily pass-through costs from third-party service providers (R. Supp. Info, pg. 4), and that the original quote increased to \$77,800 because of: "extra dismantling labor and crane time; additional counterweights and boom parts; labor intensive loading and site challenges; and cleaning services," which resulted in: the initial quote rate increase from \$43,200 to \$45,800 due to the use of 40' open top containers rather than the original high cube containers that were quoted; an additional \$15,000 charged for extra parts due to the additional labor and crane that were needed; an additional \$10,000 for site conditions and permit costs; and an additional \$7,000 to wash the excavator. R. Supp. Info, pg. 3.

Respondents assert that the demurrage charges were imposed by Hapag Lloyd, and accrued solely due to HPL's delay in making the final payment for the shipment. They aver that they "fulfilled all operational responsibilities, including timely loading and documentation. However, despite multiple follow-ups, HPL failed to remit payment on time, which directly resulted in the cargo remaining at the port longer than permitted – triggering demurrage charges." R Reply, pg. 3. As for Claimant's allegation that Respondents required it to withdraw their complaint to the Commission before releasing their shipment, Respondents assert: "We never requested or implied that HPL withdraw their complaint. We strongly refute this allegation. At no point did CFL request HPL to withdraw their complaint. The shipment release was contingent solely on receipt of full payment." R Reply, pg. 3. Respondents stress that "there was no delay in releasing the shipment after funds were received". R Reply, pg. 2.

II. PERTINENT FACTS ESTABLISHED BY THE RECORD ("PF")

1. Claimant HP Logistics Co., Ltd. ("HPL") is a freight forwarder based in Vietnam. Claim, pg. 1 at ¶ I.
2. Respondent Citi Freight Logistics Inc. ("CFL"), located in Edison, NJ, is an ocean transportation intermediary (organization and license number 027883), licensed as both a non-vessel-operating common carrier ("NVOCC") and an ocean freight forwarder ("OFF"). Claim, pg. 1; <https://www2.fmc.gov/oti/>.
3. Respondent Best International Cargo Inc. ("BIC") located in Ontario, Canada, is a non-vessel-operating common carrier ("NVOCC") (organization and license number 026878). Claim, pg. 1; <https://www2.fmc.gov/oti/>.
4. Dinh Trong Ky, the owner of the excavator, is the Director of Tan Ky Machine Works Joint Stock Company ("Tan Ky"), located in Vietnam. Answer Ex., pg. 16; R. Supp. Info, Ex. 1 at pgs. 5-6.⁵
5. Mr. Dinh purchased the Hitachi ZX 800 excavator from Richie Brothers (a/k/a "Iron Planet") in an auction. The excavator was available for pickup in Tennessee, United States, at a mining site. Claim Memo, pg. 2, Claim, Ex. 12; Answer, pgs. 2, 22; Claim Memo, pgs. 1-2; R. Supp. Info, pg. 1; C. Supp. Info, Ex. 1 at pg. 2.
6. The excavator is a heavy equipment requiring dismantling in advance of delivery to a port for transportation. R Reply, pg. 1 at no. 4.
7. Mr. Dinh hired HPL to handle the transportation of the excavator and its spare parts from the United States to Vietnam. Answer, pg. 2; R Reply, Ex. A2; R. Supp. Info, Ex. 1 at pgs. 5-6.

⁵ The first five pages of the Answer, which was a single pdf document, responded to the Complaint's allegations. Pages six through twenty-two of the Answer consisted of exhibits. Therefore, cites to the exhibits are indicated as "Answer, Ex. pg. 6" through "Answer, Ex. pg. 22."

8. HPL booked the services of CFL/BIC to ship the excavator Ex Works (“EXW”) from Tennessee, United States, to Haiphong, Vietnam. Claim, pg. 1; Claim Memo, pg. 1.
9. CFL issued the initial quote for the transportation by email, with BIC copied on the email. C. Supp. Info, pg. 3 at no. 5; C. Supp. Info Ex. 1 (email dated May 17, 2024).
10. BIC then followed up the initial rate quote by WhatsApp message exchanges with HPL. C. Supp. Info, pg. 3 at no. 5.
11. Guatam Khanna (“GK”), who is the representative for Respondents in this proceeding, used BIC and CFL email addresses interchangeably when communicating with Claimant. C. Supp. Info, pg. 3 at no. 5; Answer, pg. 1, 5 (GK’s email address listed as “export@citifreightusa.com”; Answer, pgs. 14-15 (GK’s email address listed as “sales@bestinternationalcargo.ca” and “info@bestinternationalcargo.ca”).
12. BIC issued house bill of lading S106241416/SAV/HPG, dated July 5, 2024, for the containers at issue, listing itself in the forwarding agent column, Iron Planet as the shipper, Tan Ky as the consignee and notify party, HPL as the destination agent, the port of loading as Savannah, Georgia, and the place of delivery as Haiphong, Vietnam. Claim, Ex. 6; R. Supp. Info, Ex. 4 at pg. 11.
13. Hapag-Lloyd, the vessel-operating common carrier (“VOCC”) that transported the containers, issued master bills of lading for the containers, listing BIC as the shipper and forwarding agent, HPL as the consignee and notify party, the port of loading as Savanna, Georgia and the Port of Discharge as Haiphong, Vietnam. Claim, Ex. 5; R. Supp. Info, Ex. 4 at pgs.7-13.
14. BIC acted as NVOCC for the shipment (*see* PFs 12 (BIC issued a house bill of lading for the transportation) and 13 (BIC was listed as the shipper on the master bills of lading)).
15. Although CFL does not appear on the house or master bills of lading for the containers, Respondents state that CFL acted as the primary freight forwarder for the shipments. R. Supp. Info, pg. 2 at no. 2.
16. With respect to the services Respondents provided, CFL handled the end-to-end logistics, including coordinating with the seller, arranging dismantling crews, securing cranes and trucks, managing site access, booking containers, overseeing port delivery, and preparing shipping documentation. R Reply, pg. 1 at no. 4; *see also* R Supp. Info, pg. 2 at nos. 2-3 (“CFL acted as the primary freight forwarder responsible for arranging transportation from the site to the port. CFL engaged dismantling crews, cranes, and trucking services and ensured compliance with necessary regulations.”).
17. BIC and CFL have an agency agreement, dated January 1, 2022, which authorizes CFL to act as BIC’s non-exclusive agent in the United States and Canada. R. Supp. Info, Ex. 2 at pg. 1. The agreement indicates that it “shall remain in force for one year from the date of issuance and will be auto renewed if no updates in agreement/contract.” R. Supp. Info, Ex. 2 at pg. 2.

18. Although requested in the order for additional information and documents, BIC's tariff rates and rules were not produced by Respondents and are not in the record for this proceeding.
19. BIC's house bill of lading did not reference or provide a link to tariffs published by BIC. The only terms referenced therein were the "Standard Trading Conditions of the Canadian International Freight Forwarders Association Inc. Adopted May 20, 2021." R. Supp. Info, Ex. 4 at pgs. 11-13.
20. The rate for the transportation was reached by negotiation between the parties. See, e.g., C. Supp. Info, Updated Ex. 1 at pgs. 1-5 (May 9, 2024, back-and-forth messages between CFL and HPL negotiating CFL's rate from \$45,800 down to \$45,000. HPL requested a further \$2,000 rate reduction and the parties ultimately agreed on a rate of \$43,200); *see also*, C. Supp. Info, Ex. 1 and R. Supp. Info, Ex. 1 (May 16, 2024, email from HPL to CFL and BIC), stating:

Please proceed [with] this shipment
Term: EXW
POL: please advise
POD: HPH
Volume: 1x40FR + 1X40HC + 1X20DC
EXW charges + OF: USD 43,400 USD

The total shipment will be as attached picture and below:

Specifically: 1 standard machine (machine + boom + stick arm + bucket)
Spare part: 2 pieces of extra counterweight + railing mounted on the counterweight
2 extra buckets
1 long boom (cut to fit 40ft container if necessary) + 1 long stick arm + 1 small arm
1 clam bucket
Dimension as below (attached document not included).

The rate of \$43,200 was not documented in a contract, rather this price point was documented in text messages exchanged between the parties. C. Supp. Info, Ex. 1.

21. While Claimant and Respondents negotiated the initial rate for \$43,200, this arrangement does not meet the criteria for an NVOCC negotiated arrangement ("NRA") under part 532, which governs NRAs, and exempts NVOCC engaged in NRAs from the requirement that all common carriers publish their tariff rates and rules. See PF 22 and 46 C.F.R. §§ 532.2(a), 532.5, and 532.6. First, Respondent BIC, the NVOCC for the transportation at issue, did not provide electronic access to its rules tariff before entering into the arrangement with Claimant (see section 532.4 ("Before entering into NRAs under this Part, an NVOCC must provide electronic access to its rules tariff to the public free of charge.")). Secondly, it did not invoke an exemption pursuant to part 532 in its rules tariff

(see section 532.6 (“An NVOCC wishing to invoke an exemption pursuant to this part must indicate that intention to the Commission and the public by a prominent notice in its rules tariff.”)).

22. On May 25, 2024, at 3:11 AM, CFL emailed HPL, with BIC copied, stating:

Regarding subject machine. We have crew set up to go on Tuesday for dismantling. We quoted you \$45800 for the below parts.

[email then displays an embedded image showing a screenshot of text messages sent by HPL containing the following information: Hitachi ZX800 main chassis onto (1) x 40’ OOG FR and other parts into (2) x 40’HC & (1) x 20’ Std Sea Containers, including all Labor, Rigging Supplies, Forklift, and Crane Usage

CONT#1; 1 x Roller Frame & 1 x Boom / CONT# 2; 1 x Roller frame & 1 x bucket & 2 x lift cylinders & 1 x pallet of parts / CONT#3; 1 x Counterweight & 1 x Stick & (any left over parts like cat walks, safety rails, exhaust pipes).

Dismantling; \$8000 in mining

Trucking:\$14000

Main machine and fall off Dismantling. Securing, drayage

1x40’ Fr, HC & 20’ std’ 14500

Ocean; 1x 40’Fr; 6700

40’ hc; 1400

20’ std; 1200

Total: \$45800

end of embedded image]. The email text continues as follows:]

Now according to Jimmy there are extra parts with machine, we have no packing list with weights and dims,

Neither invoice or release mention those parts, attached is the invoice for your ref. Looks like we have some miscommunication here.

Now we have 2 options:

1.) Either we leave the parts behind so that there will be no extra charge

2.) If still customer want to load , I am anticipat[ing] \$11000-12K additional for the original quote of machine. Exact calculation will come once crew reach there on tuesday.

So please let me know if we can still process this order.

Answer, Ex. pg. 7; R. Reply, Ex. A1 at pgs. 1-2 (bold and punctuation as in original).

23. On May 25, 2024, CFL sent a follow-up email to HPL, with BIC copied, stating:

Further to below according to Jimmy machine is in working condition , i will keep my fingers crossed.

Secondly we kept 3 days to dismantle this machine , if machine is not running or Jammed price may can increase because crew and crane has to spend more time. However as ever we tried to honour our quote since there are many challenges here due to UNION site, very less times to work, rules and regulation of minning [sic] is very tough.

Machine is 160000 LBS + the parts (not aware the dims and weight of them) so it will be big project and will keep you posted. Once you confirm we will pay the crew through credit card tomorrow and keep the ball rolling otherwise we have to stop this project till you make decision.

I am giving you heads up what we are going through , hope everything will run smooth.

Answer, Ex. pg. 8 (spelling, spacing in original).

24. On or around May 25, 2024, the parties exchanged the following messages:

- HPL: “Zx800 customer confirms to stop”
- HPL: “Yes customer get angry [sad faced emoji]”
- Respondents (“R”): “Let him be he will be in big problem”
- R: “Because that site is not easy”
- R: “Now if he come back I have to requote him . . . ”
- R: “Jas can I email him and talk to him to convince”
- R: “Because till Monday USA is closed”
- HPL: “Yes you can”

C. Supp. Info, Ex. 2 at pg. 3.

25. On May 25, 2024, Gautam Khanna (“GK”), of BIC, emailed Mr. Dinh, with HPL copied, stating:

1.) I would like to say sorry because there is lot of confusion moving the subject equipment.

2.) There are some extra expenses and speculations we are anticipating before moving to this job on Tuesday since Monday is a holiday.

3.) We came to know that the machine is standing for a long time and BOLT can be jammed which may need some extra work, it does happen in these kinds of JOBS but we have to advise customer in advance so that he shouldn’t be surprised or think that we didnt advise upfront.

4.) Now the major issues what we are facing right now is there are some extra pieces which need to be picked up and we have no packing list , dims or weight, so there is no way we can estimate the charges to be moved.

5.) We calculated 1 x 40' FR and 2 x 40' or 1 x 40HC and 20'STD for the fall of loads. However there some counterweight extra and some other boom, which we have no dims. So I told Jasmine to advise we are anticipating anything between 11k -12K may be less or more, we will come to know once the team reach on site by tuesday. Now these parts needs labour , Crane per hour time , trailers to pick up, More supplies to load them in containers and some extra containers too. But we dont know how much all are these.

Now we have 2 options:

1st option:

- 1.) TO cancel the loads which i hate to do that because i spent lot of time and money to reach the mines and fulfill their requirements , But i still tried to cancel but to LONG weekend , there is no one answering my calls and emails from Crane company and dismantling team.
- 2.) Since the long weekend we order the permits for truck on Friday so that trucks can be there on time by Wednesday and we can load everything MAX by thursday.
- 3.) Crane and dismantling team already charge our credit card to be there 7 AM in the morning there must be some cancellation charges i am pretty sure IF SOMEONE respond to me in the weekend.
- 4.) So we cancel we still may have to pay dismantling team one day charge and crane charge

My suggestion is we can let the team going as per schedule for main machine and we will send you the exact products what we need to pick up, with the correct amount of charges. May be our trucker manage to load them with other parts and we can secure them in same containers. In this case we only have to pay the extra charge of labour and crane time or you can just leave the parts at the site and only like to keep moving with Main machine and its parts Which will save everyone time and machine can be out of UNION and MASHA site.

2nd Option

- 1.) We can just pay one day charge to dismantling team and crane company which is around \$7000.
- 2.) Permits for \$1000 for trucks and move away with this JOB

Above option is complete waste of money and time.

But I believe Cancelling this JOB at this point is complete waste of everyone efforts. I really need your help on this move. I like to be transparent and honest before i do any job. Please help

Answer, pg. 14 (spelling in original).

26. On May 26, 2024, Mr. Dinh responded to BIC, writing:

Dear GK,

1.I have hired HPLOGS represented by Jasmine to handle the entire process of shipping the ZX800 and its spare parts to Vietnam for us.

2.Yesterday, after she sent an email requesting an additional 13000 - 15000 USD for shipping the spare parts because your previous quotation did not include them. We did not agree with the increased shipping cost. According to Jasmine, if we do not agree, the entire transaction will be canceled. As a result, we have emailed RBA about discontinuing cooperation with your company.

3.We did not receive any negotiation from HPLOGS regarding this transaction, even though we contacted them again to find a solution after reading the email you sent me about the issues you are facing. But HPLOGS don't want to bear any responsibility and don't offer us any persuasion. They have only requested us to make decision.

4.We have decided to terminate our collaboration with HPLOGS on this shipping because we feel that HPLOGS is not taking responsibility for this transaction.

5.After reading your email, I understand that you have invested a considerable amount of time and money into this transaction, so I propose that my company will work directly with yours without involving HPLOGS. I would like to hear your opinion on this matter.

6.If you agree to work directly with me, I hope we can come up with the best solution to load the entire machine and spare parts.

I'm looking forward to hearing your answer.

R. Reply, Ex. A2.

27. HPL continued to represent Mr. Dinh, however; and text messages exchanged between HPL and Respondents on or around May 26, 2024, reference a \$43,200 "body" price, and \$11,000 for spare parts, but also reference that the parties will continue to negotiate.

- Respondents: "We are working on the bookings and we will load complete machine by the end of June"

- Respondents: “Will send the bookings soon”
- HPL: “okay let[‘s] **try** to get spare part for 11,000 USD”
- HPL: “body 43,200 USD”
- HPL: “As we negotiate[d]”
- Respondents: “**Will try my best** don’t worry”

C. Supp. Info, Ex. 2.1 at pg. 2 (emphasis added; spelling as in original).

28. Upon inspecting the machine at the site Respondents found it to be “extremely dirty and unsuitable for shipping without proper cleaning.” R. Supp. Info pg. 1 at no. 1 (also noting “This crucial detail was not disclosed to us beforehand.”); *see also* R. Supp. Info, Exs. 7-11 (photos and a video showing cement and hard materials caked onto the excavator).
29. On June 7, 2024, HPL emailed CFL, with BIC copied, stating in relevant part:

Please confirm the final rate for HITACHI ZX800 and spare parts **once everything done**, send us booking once available

Also, note to remove all screws and put it into the box then put in a container to ship back to Vietnam to us

R. Supp. Info, Ex. 1 at pg. 7 (emphasis added).

30. On or around July 3, 2024, Respondents messaged HPL, stating: “Also send me 50% advance pls.” C. Supp. Info, Ex. 3 at pg. 2; *see also* C. Supp. Info at no. 3 (noting date as July 3, 2024).
31. On July 6, 2024, Respondents emailed HPL, sending a house bill of lading. R. Supp. Info, Ex. 1 at pg. 13.
32. BIC’s house bill of lading states in pertinent part: “One of these Multimodal Transport Bills of Lading must be surrendered duly endorsed in exchange for the goods.” R. Supp. Info, Ex. 4 at pg. 12.
33. HPL reviewed the house bill of lading and on July 7, 2024, asked that the consignee information be updated. R. Supp. Info, Ex. 1 at pg. 12.
34. In response, Respondents sent a revised house bill of lading on July 8, 2024. R. Supp. Info, Ex. 1 at pg. 12.
35. On July 16, 2024, HPL emailed Respondents, stating: “Please kindly send us the booking and MBL for this shipment urgently so we can arrange payment soon.” R. Supp. Info, Ex. 1 at pgs. 9-10.
36. On July 17, 2024, Respondents emailed HPL, stating:

Please find the attached booking using [sic] which we are loading the subject machine” and noting the following dates:

Port Cut-off: 26th July
Docs. Cut-off: 25th July at 12:00 pm
Estimated Sailing: 30th July
Estimated Arrival: 27th Sep.

We will keep you posted.

R. Supp. Info, Ex. 1 at pgs. 9-14. The email included two pdf attachments containing Hapag Lloyd booking confirmations dated July 15, 2024. C. Supp. Info, Ex. 8 at pgs. 5-6, 8-10.

37. The first attachment to Respondents' July 17, 2024, email was labeled "Booking Confirmation – 2nd UPDATE" for the container holding the main excavator machine body ("Booking No. 2"). Booking No. 2 describes the excavator as an "OOG⁶ cargo," Container Type - 40' X 8' X 9'6" FLAT (COLLAPSIBLE) .C. Supp. Info, Ex. 8 at pgs. 5-6. The second attachment was labeled "Booking Confirmation – 7th UPDATE, and contained booking details for the four open top containers holding the remainder of the excavator components and associated parts ("Booking No. 7"). C. Supp. Info, Ex. 8 at pgs. 7-10. The container details listed in Booking No. 7 include the following:

Quantity: 1x, Type: 45UT . . .

Container Type - 40' X 8' X 9'6" HIGH CUBE OPEN TOP CONT.

Commodity - Description: INDUSTRIAL MATERIAL Gross Weigh 53000 LBR

Quantity: 3x, Type: 45UT . . .

Container Type - 40' X 8' X 9'6" HIGH CUBE OPEN TOP CONT.

Commodity - Description: USED MACHINERY Gross Weigh 55,000 LBR

C. Supp. Info, Ex. 8 at 9 (capitalization in original). The booking notices that Respondents sent to HPL on July 17, 2024, thus indicated that four open-top ("OT") containers would be used for the shipments. R. Supp. Info pg. 1 at no. 1; C. Supp. Info, Ex. 8 at pgs. 5-6, 7-10.

38. On July 18, 2024, BIC emailed HPL writing "Below is preliminary quote, **final charges will come once machine is loaded[.]**" R. R. Reply, Ex. A3 (emphasis added).
39. On July 19, 2024, HPL emailed Respondents, with subject line "Re: INVOICE FOR ZX 800::: ADVANCE PAYMEN RQST . . ." writing: "Dear GK, As Jasmine discussed, the total \$43,200 is correct. Please update the rate." C. Supp. Info, Ex. 2.1 at pgs. 1-2. Respondents replied writing: "OK go by 43200 + 1100 for the parts." C. Supp. Info, Ex. 2.1 at pg. 1.
40. On or around July 19, 2024, Respondents sent HPL a CFL Invoice listed as #15963 and dated July 3, 2024, which contained the following pertinent notation: Description:

⁶ "OOG," is an abbreviation for an "Out of Gauge" cargo. This shipping term describes cargo that is too large to fit into a standard 40 high cube (40HC) container. Such cargo is typically shipped in flat rack or open top containers. *See, e.g.,* <https://teuinc.com/blog/what-is-oog-in-shipping>.

“ADVANCE INVOICE – Advance for ZX 800,” Rate: \$25,000, Total: \$25,000, Payments/Credits: \$0, and Balance Due: \$25,000. R. Supp. Info, Ex. 3 at pg. 1.

41. On July 19, 2024, HPL processed a payment to CFL totaling \$25,000, containing a notation: “PMNT FOR OCEANFREIGHT AS PER INV NO.15963.” R. Supp. Info, Ex. 3 at pg. 4; R. Supp. Info, pg. 1 at no. 1.
42. On July 26, 2024, Respondents completed loading the containers on board the vessel, which departed on or around August 9, 2024. R. Supp. Info, pgs. 1 at no. 1, 4 at no. 18; R. Supp. Info, Ex. 4 at pg. 7.
43. In total, Respondents shipped five containers on behalf of Claimant, numbered as follows: HLBUE8181527, HLBUE8221297, HLBUE8212844, HLBUE8220768, and HLXU8692289. HLXU8692289 is described as “FLAT (COLLAPSIBLE)” and the remainder of the containers are described as “HIGH CUBE OPEN TOP” containers. R. Supp. Info, Ex. 4 at pgs. 7-8.
44. On August 13, 2024, CFL issued a second invoice to Claimant, labeled as Invoice # 15963. The invoice, which was dated July 3, 2024, listed HP Logistics Co., Ltd as the Bill To party, and contained the following notations: Total: \$77,800, Payments/Credits: - \$25,000, and Balance Due: \$52,800, for “1 x 40'FR & 4 x 40'OT CONTAINER FROM SAVANNAH, GA TO HAIPHONG // BL# 66625371 // CNTR# HLXU8692289 // CNTR# HLBUE8181527 // CNTR# HLBUE8221297 // CNTR# HLBUE8212844 // CNTR# HLBUE8220768.” The invoice also provided a breakdown of four items:

Freight Charge	45,800
Charges for extra parts	15,000
Washing charge	7,000
Charge for 2 days of extra dismantling because of hard pin	10,000

Note: the payment is due before the release of shipment.

R. Supp. Info, Ex. 3 at pg. 2; C. Supp. Info, Ex. 3 at pg. 1.

45. The first indication of a dispute regarding the second invoice appears in an email exchange between the parties dated August 14, 2024, in which CFL states to HPL:

I would appreciate if it you could send me an email with the pics of the concrete you sent me before giving this JOB to us. These pics came once we started the JOB, however we gave you the heads up by giving you the notice that if the machine jammed up and we need to spend more days and time to dismantle the machine, it will cost more.

Now regarding extra charge once all the JOB is finished we can evaluate how much extra time and days spent and cleaning the concrete off. By loading the stuff on the trailer and moving to the washer yard. So these charges are valid and have to get paid. Means this work has not been advised and we perform as we are in the middle of the JOB, we paid the

riggers, cranes company, truckers in advance, we cannot tell them to leave the JOB in between.

We kept informing Jasmine on whats app [sic] the progress of loading day by day and we did inform her that there will be extra charge which will be advised according to the time and days spent on this work.

To avoid these surprises, you should have advised us and send us the clear pics of the concrete. We would have done the work accordingly. However it was never mention in your any email or messages [sic].

We were resilient to do this job before only but your team and your customer pushed us to perform, though we dealt with this JOB in the past and we know the extra charges do come. Jasmine confirmed to me that yes in these jobs surprises do come so then we move ahead and do it for you, Because we thought you are experienced and must be transparent to your customer.

Sorry, the invoices will remain the same and it's not reducing since we already paid all the charges to the concerned parties.

C. Supp. Info, Ex. 6 at pg. 1.

46. HPL replied to CFL later on August 14, 2024, with BIC copied in the email, stating:

Dear GK
Noted your email.
But the explanation is not true.
Why don't you inform the fee from the day you take job till 19 July.
You just push us deposit and did not mention 23000USD extra fee will come by email.
If we now this huge amount [sic], we had stop doing this job at May when you take the photos and said you can solve this matter!
You waiting cargo loading at early August and send debit with the extra charge at by your side. It's not fair!
And no agent accept the way you collect after loading cargo without notice.
We also keep our decision. NO PAY ANY MORE CHARGE!
We had bare 11000USD for this machine and other 2500\$ for Canada machines
We're very kind and bare too much
Who will take loss for us in this case!
So no more talk, revise debit 54000USD or you must return cargo right away!

C. Supp. Info, Ex. 6 at pg. 2 (capitalization and phrasing as in original).

47. CFL replied on August 15, 2024, writing in pertinent part:

You guys are well aware of the situation rather you guys hide the correct job work from us.

We did send you all the proof of work.
 Cargo will be [sic] NOT be released now HP logistics pay to us in FULL
 for all the shipments
 Also these WORK and CHARGES anticipated and we did advise the
 charges WILL APPLY if machines if machines are JAMMED and other
 work has to perform, it was started once we have all the Cranes and
 riggers start dismantling this machine.
 It was well updated in the email. Please read the below email against Send on
 May/25th

[including image of May 25, 2024 email from CFL which noted: “Further
 to below according to Jimmy machine is in working condition , i will keep
 my fingers crossed.”]

Secondly we kept 3 days to dismantle this machine , if machine is not
 running or Jammed price may can increase because crew and crane has to
 spend more time. However as ever we tried to honour our quote since
 there are many challenges here due to UNION site, very less times to
 work, rules and regulation of minning [sic] is very tough.

Machine is 160000 LBS + the parts (not aware the dims and weight of
 them) so it will be big project and will keep you posted. Once you confirm
 we will pay the crew through credit card tomorrow and keep the ball
 rolling otherwise we have to stop this project till you make decision.
 I am giving you heads up what we are going through , hope everything will run
 smooth.”]

C. Supp. Info, Ex. 6 at pg. 3.

48. In October 2024, the parties exchanged emails continuing to discuss payment. HPL wrote that it was pushing the consignee to pay, and Respondents advised HPL that they would send the original bill of lading once payment of the remaining balance had been completed. R. Supp. Info, Ex. 6 at pgs. 1-5.
49. On October 7, 2024, Respondents emailed HPL, writing “Let me know how it goes. We will wait for this week otherwise will start to divert the cargo to another country.” C. Supp. Info, Ex. 5 at pg. 1
50. On or around October 7, 2024, the shipments arrived in Haiphong, Vietnam. R. Supp. Info, Ex. 6 at pg. 2.
51. On October 11, 2024, HPL processed a payment to CFL, totaling \$52,800, with a notation: “PMNT FOR OCEAN FREIGHT AS PER INV NO.15963.” R. Supp. Info, Ex. 3 at pg. 5; *see also* C. Supp Info, Ex. 4.1.

52. Respondents received HPL's October 11, 2024, payment on October 15, 2024, and processed release of the containers the same day, providing HPL with the original bill of lading. R. Supp. Info, pg. 2 at no. 1.

53. Also on October 15, 2024, Respondents emailed HPL, asking:

So you mean you confirm and you accept the charges and you are not disrupting this case and you will reverse all complaints against BIC/CFL from all agencies. You are not under pressure we are releasing OBL anyways, Since you advised below, I need a letter from you clearly mentioning your intention. I can request my owner of the company to help you to release the cargo soonest possible.

C Reply, Ex. 5.

54. Responding to the request for additional information in which Respondents were asked to provide a "copy of all invoices and charges received from any entity that provided services for the shipment at issue, including the ocean common carrier" (see RSI no. 19), Respondents submitted the following invoices, which summed to a total of \$88,777.83:

<i>Biller</i>	<i>Type of Expenses</i>	<i>Amount</i>	<i>Invoice Date</i>	<i>Cite</i>
CraneWorks, Inc.	Crane for loading out of excavator	18,159.59 USD	6/3/24	R. Supp. Info, Ex. 5 at pg. 8
McCoy Construction & Forestry, Inc.	Removing of bucket, boom, tracks, counterweight, and loading on trailers	17,642.24 USD	5/31/24	R. Supp. Info, Ex. 5 at pgs. 11-12
TRT International, Ltd.	Ocean freight prepayment	15,600.00 USD	7/8/24	R. Supp. Info, Ex. 5 at pg. 13
Transocean Projects Management LLC	General cargo securing & consultation	4,150.00 USD	7/29/24	R. Supp. Info, Ex. 5 at pg. 14
Online Freight Services, Inc.	Trucking	22,400 USD	7 invoices spanning	R. Supp. Info, Ex. 5 at pgs. 16-22

			5/31/24 – 6/18/24	
Hapag-Lloyd	Marine fuel recovery, cleaning, and other fees	10,826 USD (prepaid)	8/3/24	R. Supp. Info, Ex. 5 at pgs. 16- 22.
<i>Total</i>		88,777.83		<i>See also</i> R. Supp. Info, Ex. 5 at 2pg. 3 (noting expense breakdown)

The invoices submitted by Respondents reflect the charges they state they incurred in connection with the cargo at issue. *See* R. Supp. Info Ex. 5.

55. Claimant produced two demurrage invoices issued by Hapag Lloyd to customer “CONG TY CP MAY CONG TRINH TAN KY.” The majority of the invoice detail is in a foreign language, presumably Vietnamese, however the following invoice information is included in English on both invoices: Invoice date: 10/16/2024, Los Angeles Express, Sailing August 9, 2024, Haian Beta, Arrival October 7, 2024, From: Savannah, GA, To: Haiphong. C. Supp. Info, Ex. 2.2 at pgs. 1-2.
56. The first demurrage invoice is identified as Reference No. 2135413561 for Shipment No. 63292332, and contains the description: “001 CONT. 40’ X 9’6” FLAT (COLLAPSIBLE).” The invoice indicates that: the shipment was entitled to 3 days of free time from 10/7/2024 to 10/9/2024, and that demurrage for 5 days were billed at 1211040 VND (through 10/14/2024), with another 2 days of demurrage billed at 2422080 VND (through 10/16/2024), plus value added tax of 573651 VND, for a total of 11,473,011 VND. C. Supp. Info, Ex. 2.2 at pg. 1.
57. The second demurrage invoice is identified as Reference No. 2135413562 for Shipment No. 66625371, and includes a description: “004 CONT. 40’ X 9’6” HIGH CUBE OPEN TOP CONT,” and the following details: 3 days of free time from 10/7/2024 to 10/9/2024; 5 days billed at 4844160 VND for the four containers (through 10/14/2024), and 2 days billed at 9688320 VND for the four containers (through 10/16/2024), plus value added tax of 2294602 VND, for a total of 45,892,042 VND. C. Supp. Info, Ex. 2.2 at pg. 2.

58. The demurrage charges for the relevant containers totaled to a sum of 57,365,053 VND.⁷ C. Supp. Info, Ex. 2.2 at pgs. 1-2; *see also* C. Supp. Info, pg. 1; C. Supp. Info, Synopsis pg. 2. (Claimant asserts that these demurrage charges summed to the equivalent of \$2,295 USD.)
59. Claimant requested a waiver from Respondents on the demurrage charges but CFL responded on October 10, 2025: “I understand and i am sorry but I cannot let demurrage go on this machine then no one will get nothing.” R. Supp. Info, Ex. 1 at pg. 18.
60. Claimant paid the demurrage charges and the containers were released. R. Supp. Info, Ex. 1 at pg. 18 (email from HPL to Respondents dated Oct 10, 2025, advising: “We will pay the raising charge for Dem/det until Cnee complete the payment.”); R. Supp. Info, pgs. 1-2 (stating that “HPL sent the funds on October 11, [2024], which we received on October 15. . . .There was no delay in releasing the shipment after funds were received.”).

III. DISCUSSION

A. Controlling Authority

Respondents are ocean transportation intermediaries. “The term ‘ocean transportation intermediary’ means an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(20). An “ocean freight forwarder” is a person that –

- (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and
- (B) processes the documentation or performs related activities incident to those shipments.

46 U.S.C. § 40102(19).

A non-vessel-operating common carrier is “a common carrier that does not operate the vessels by which the ocean transportation is provided and is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17). A “common carrier” is a person that –

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;

⁷ The currency conversion tool at the website www.oanda.com/currency/converter was used to determine the exchange rate and US dollar equivalent amount on the date of payment. Oanda shows that VND 57,365,053 was the equivalent of USD 2,306.99 on October 11, 2025, the date of payment. However, Claimant alleges that the converted rate was \$2,295 and seeks a refund of that amount.

- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

46 U.S.C. § 40102(7). The term “shipper” means –

- (A) a cargo owner;
- (B) the person for whose account the ocean transportation of cargo is provided;
- (C) the person to whom delivery is to be made;
- (D) a shippers’ association; or
- (E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

46 U.S.C. § 40102(23).

Claimant alleges that Respondents violated sections 41102(c) of the Shipping Act and 545.4 of the Commission’s Regulations. Section 41102(c) provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” Pursuant to section 545.4 of the Commission’s regulations, in order to establish a successful claim for reparations” under section 41102(c), the claimant must demonstrate that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

Claimant also alleges that Respondents violated section 40501 and imposed “unreasonable charges without adherence to FMC rate filing or any NRA guidelines. C. Supp. Info, pg. 2. Section 40501 provides:

Each common carrier and conference shall keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established. However, a common carrier is not

required to state separately or otherwise reveal in tariffs the inland divisions of a through rate.

46 U.S.C. § 40501. *See also*, section 520.3 of the Commission's Regulations which mandates that all common carriers and conferences keep open for public inspection in automated tariff systems tariffs showing all rates, charges, classifications, rules, and practices between all points or ports on their own routes and on any through transportation route that has been established," unless otherwise exempted or excepted by statute or regulation. 46 C.F.R. § 502.3(a).

The Commission's regulations guiding NRAs are set out at Part 532 of the Commission's regulations. Part 532 exempts duly licensed or registered NVOCCs from sections 40501(a) and 502.3(a)'s requirement that an NVOCC include its rates in a tariff open to a public inspection in an automated tariff system. *See* 46 C.F.R. § 532.2. An NRA "means a written and binding arrangement between an NRA shipper and an eligible NVOCC to provide specific transportation service for a stated cargo quantity, from origin to destination, on and after receipt of the cargo by the NVOCC." 46 C.F.R. § 532.3(a). Before entering into NRAs, an NVOCC must provide electronic access to its rules tariffs to the public free of charge." 46 C.F.R. § 532.4. In order to qualify for the exemptions to the general publication requirement as set forth in § 532.2, an NRA must meet the following requirements:

- (a) **Writing.** The NRA must be in writing.
- (b) **Parties.** The NRA must contain the names of the parties and the names of the representatives agreeing to the NRA.
- (c) **Agreement.** The terms of the NRA must be agreed to by both NRA shipper and NVOCC, prior to receipt of cargo by the NVOCC. The shipper is considered to have agreed to the terms of the NRA if the shipper:
 - (1) Provides the NVOCC with a signed agreement;
 - (2) Sends the NVOCC a written communication, including an e-mail, indicating acceptance of the NRA terms; or
 - (3) Books a shipment after receiving the NRA terms from the NVOCC, if the NVOCC incorporates in the NRA terms the following text in bold font and all uppercase letters:
"THE SHIPPER'S BOOKING OF CARGO AFTER RECEIVING
THE TERMS OF THIS NRA OR NRA AMENDMENT
CONSTITUTES ACCEPTANCE OF THE RATES AND TERMS
OF THIS NRA OR NRA AMENDMENT."

Further, an NVOCC "wishing to invoke an exemption pursuant to [part 532] must indicate that intention to the Commission and the public by a prominent notice in its rules tariff. 46 C.F.R. § 532.6.

B. Evidence and Burden of Proof

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. A person alleging a Shipping Act violation, therefore, bears the burden of proof to demonstrate its allegations by a preponderance of the evidence. 46 C.F.R. § 502.203; 5 U.S.C. 556(d); *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). The term, “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, FMC Docket No. 94-24, 27 S.R.R. 1137, 1161 (FMC Aug. 12, 1997). *Steadman v. SEC*, 450 U.S. 91, 101 (1981) (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, FMC Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424, (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Greenwich Collieries*, 512 U.S. at 281.

C. Claimant Fails to Demonstrate a Section 41102(c) Violation

Claimant alleges Respondents violated sections 41102(c) and 545.4. Section 41102(c) forbids common carriers, marine terminal operators and ocean transportation intermediaries “to fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C § 41102(c). Pursuant to section 545.4, to succeed in a claim for reparations under section 41102(c), the claimant must demonstrate that the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; the alleged illegal conduct is “occurring on a normal, customary, and continuous basis; the alleged practice or regulation relates to or is connected with receiving, handling, storing or delivering property; the alleged practice or regulation is unjust or unreasonable; and, the alleged practice or regulation in question is the proximate cause of the loss the claimant alleges it suffered. 46 C.F.R. § 545.4. Failure to demonstrate any of these five elements precludes the finding of a section 41102(c) violation and award of reparations to the claimant.

Here, BIC acted as the NVOCC for the shipping of the containers at issue (PFs 3, 12-14), and CFL acted as the freight forwarder (PFs 2, 15-16). Respondents are, therefore, ocean transportation intermediaries, establishing the first criteria. Further, the alleged conduct by Respondents was in regard to the shipping of Claimant’s containers from the United States to Vietnam, thus it involves the receiving, handling, storing or delivery of property, which satisfies the third established criteria under section 545.4. In addition, Claimant alleges that the described conduct by Respondents – their unilateral increase of the freight charges and delay in releasing the shipment after freight had been paid in order to force Claimant to withdraw its complaint with CADRS - was the reason Claimant incurred the additional freight charges and the

demurrage on the container; thus, the fifth criteria is also satisfied.

However, for the reasons discussed below, it is found that Claimant has not demonstrated that Respondents acted unjustly or unreasonably, the fourth element under section 545.4, or that their alleged conduct occurred on a normal, customary or continuous practice basis, the second element. All elements under section 545.4 must be demonstrated to establish a violation of section 41102(c) and recover reparations; therefore, the section 41102(c) claim is dismissed.

1. The Record Does Not Demonstrate that Respondents Acted Unjustly or Unreasonably

Claimant states that Respondents agreed to a total charge of \$54,200 (comprising an initial quote of \$43,200 plus an additional \$11,000), but then unexpectedly increased their charges to \$77,800 and shipped the cargo in question without obtaining approval from Claimant. C. Supp. Info, Synopsis pg. 1; Claim Memo pg. 1; C. Supp. Info, pg. 3; and C Reply, pg. 1. However, Respondents assert that the increase in the quoted price occurred because Claimant provided inaccurate and incomplete information about the cargo to be shipped and that they never committed to a fixed price and in fact informed Claimant on multiple occasions of various factors that could increase the price. R. Supp. Info pg. 1. Answer, pgs. 2-4; R. Supp. Info, pgs. 1-4; R. Reply, pgs. 1-3.

While the parties initially agreed to a charge of \$43,200 to dismantle and ship the excavator based on Claimant's description of the cargo to be shipped as "1 standard machine" and list of certain parts to be shipped along with the excavator, Respondents subsequently communicated to Claimant that they had discovered "extra parts with [the] machine, [and] no packing list with weights and dim[ension]s" which Claimant had not disclosed at the time of their initial quote, and that the charges would now be higher. They offered Claimant two options: "to leave the parts behind so there will be no an extra charge," or to pay an additional cost over the initial quote if Claimant chose to ship the extra parts, which Respondents "anticipat[ed would be] \$11,000-12K additional for original quote." PF 23; Answer, Ex. pg. 7; R. Reply, Ex. A1 at pgs. 1-2.

Respondents' vague "anticipation" that the additional charges would be \$11,000 - \$12,000 was not a firm quotation, and the evidence suggests that Claimant was aware of this fact because in a subsequent email it urges Respondents: "okay let[s] **try** to get spare part for 11,000 USD" and Respondents' representative answers: "**Will try my best** don't worry." PF 28; C. Supp. Info. Ex. 2.1 at pg. 2 (emphasis added). Further, in a June 7, 2024, email, Claimant instructs Respondents to "confirm the **final rate** for HITACHI ZX800 and spare parts once everything done, send us booking once available" (PF 30; R. Supp. Info, Ex. 1 at pg. 7 emphasis added), and Respondents' state in an email on July 18, 2024: "Below is preliminary quote, **final charges will come once machine is loaded.**" R. Reply, Ex. A3 (emphasis added). Claimants submitted a subsequent email titled "Re: INVOICE FOR ZX800; **ADVANCE PAYMENT** RQST: Ref. # S106241417," in which Respondents state: "Ok **go by** 43200 + 11000 for the parts." C. Supp. Info. Ex. 2.1 (emphasis added). While this statement, viewed by itself, implies that the parties agreed to a rate of \$54,200, when coupled with Respondents' statement that the final charges would only be known after the machine was loaded and the email subject matter indicating that an advance payment was being discussed, it seems more likely that Respondents

asked Claimant to use \$54,000 as the basis to calculate the advance payment amount.

Other emails between the parties regarding the final charges were similarly vague, and it appears that each party interpreted them differently. For example, the June 7, 2024, email from Claimant instructing Respondents to confirm the final rate for the shipment “once everything [is] done” (PF 30) was viewed by Claimant as an instruction to obtain approval for the final charges prior to the departure of the vessel, while Respondents viewed it as an instruction to notify Claimants of the final charges “once the machine was dismantled, loaded, and containerized.” R. Reply, pg. 2 at Q5b. Regardless of how each party interpreted the instruction, it is clear that Claimant was aware it was yet to receive the final charges and that the final rate would only be available after “everything [was] done.”

Confusing matters even more, Respondents sent Claimant two invoices, both dated July 3, 2024, but issued on August 13, 2024. The first, described as “Invoice # 15963,” contains a notation “ADVANCE INVOICE – Advance for ZX 800,” indicating that an advance in the amount of \$25,000 was due for the shipment (PF 42; C. Supp. Info, Ex. 4 at pg. 2; R. Supp. Info, Ex. 3 at pg. 1). Claimant asserts that the invoice is evidence that the parties had reached agreement that the final charges would be \$54,200, citing an undated WhatsApp chat between the parties, in which Respondents state: “Also send me 50% advance pls” and an email from BIC dated August 13, 2024, with the subject: Invoice: HBL for ZX800 for Booking: 66625371 and 63292332 ///Ref. # S106241416 stating “Please find the attached invoice for the subject shipment. Kindly confirm the receipt and share remittance details” (the referenced attachment contained Invoice 16963 above). C. Supp. Info Ex. 3. The second invoice, also described as “Invoice # 15963,” shows a total due amount of \$77,800 for the shipment, with \$25,000 deducted as “payments/credits” and a listed remaining balance due of \$52,800.00. The invoice lists a freight charge in the amount of 45,800.00; Charges for extra parts in the amount of \$15,000; a washing charge in the amount of \$7,000, and charge of \$10,000.00 “for 2 days of extra dismantling because of hard pin” for containers HLBUE8181527, HLBUE8221297, HLBUE8212844, HLBUE8220768, and HLXU8692289. C. Supp. Info, Ex. 4 at pg. 3; R. Supp. Info, Ex. 3 at pg. 2.

Claimant’s argument that the invoice for \$25,000 proves the parties agreed on a final charge of \$54,200 is hard to follow. The invoice describes the \$25,000 as an “advance for ZX 800,” not a half payment. Further, it is clear from the emails between the parties that Claimant understood that final charges were pending, and moreover, 50% of \$54,000 is not \$25,000. Presumably, if the parties had intended the payment to be for half of a final charge for \$54,200, Respondents would have issued Claimant an invoice for \$27,100 rather than \$25,000. Rather, viewed as a whole, the evidence suggests that the charges were yet to be finalized, and that the parties understood that the charges would be greater than \$50,000.

Next addressing Claimant’s complaint that Respondents waited to issue the final invoice until the vessel carrying the containers had departed the port, I note that the invoice for \$77,800 is dated July 3, 2024, (C. Reply, Ex. 4 at pg. 3), suggesting that Respondents knew as of that date that the final charges would be at least \$77,800, but waited until August 13, 2025, well after they had loaded the shipment on board the vessel (July 26, 2025), and the vessel had departed (August 9, 2025), to issue the invoice. C. Reply Ex. 4 at pg. 1, R. Supp. Info. pg. 1. Respondents do not explain why they waited so long to apprise Claimant of the final charges. While it would have

been prudent for Respondents to alert Claimants of the final charges when they became known by July 3, 2025, because the services Respondents were hired to perform could only have been concluded, i.e., “done” after the excavator and parts had been transported to the port and loaded on the vessel for delivery to Claimant, I do not find that Respondents’ interpretation of Claimant’s June 7, 2024, instruction to confirm the final rate “once everything [is] done” as meaning that Claimant wanted a final invoice after the shipment had been containerized and loaded for shipping was an unreasonable one. Further, while Respondents waited an additional two weeks after the containers were loaded to send the invoice, I do not find that sending the invoice two weeks after the containers were loaded on the vessel was an unreasonable length of time. Nothing in the record indicates that Claimant instructed Respondent to obtain authorization prior to loading the containers on board the vessel.

This dispute appears to have resulted from the fact that the communications between the parties were vague and they failed to specify the details of their arrangement in a way that set clear expectations for each to follow. Claimant and Respondents are professional entities engaged in the business of ocean transportation, not amateurs. They are presumed to be knowledgeable and experienced about shipping matters. To avoid similar disputes in the future the parties would do well to negotiate agreements with clearer and more definite terms. Due to the lack of clarity as to what the parties intended, the undersigned cannot find that Respondents acted contrary to the parties’ arrangements.

Claimant further alleges that the additional charges are “excessive,” “exorbitant,” and unsupported “by any proof or clear explanation.” C. Supp. Info. pgs. 1 and 3; C. Reply, pg. 1. Due to these allegations, in the Request for Supplemental Information, Respondents were asked to produce “a copy of Respondents’ tariff rates and rules supporting all charges assess on the shipment at issue, including for the ocean freight charges,” and “a copy of all invoices Respondents received from entities that provided services for the shipment, supporting the charges.” RSI, pgs. 3 at 15, and 4 at 20. Respondents failed to produce BIC’s tariff rates and rules but submitted invoices from vendors that provided services for the shipments.

The invoice for \$77,800 lists the following charges for the containers at issue - HLBUE8181527, HLBUE8221297, HLBUE8212844, HLBUE8220768, and HLXUE8692289:

Freight charge in the amount of 45,800.00;
Charges for extra parts in the amount of \$15,000;
a washing charge in the amount of \$7,000, and a
charge of \$10,000.00 “for 2 days of extra dismantling because of hard pin.”

C. Supp. Info, Ex. 4 at pg. 3; R. Supp. Info, Ex. 3 at pg. 2.

The invoices submitted by Respondents sum up to a total of \$88,777.83 and according to Respondents, were issued by various vendors who performed services on the shipments. PF 56; R. Supp. Info Ex. 5. Claimant disputes the validity of these invoices, opining that “the respondents are covering up [the charges.] I do not know why [the] washing charges [for the excavator] are \$7,000 if they just had to power wash it,” and that “[s]ometime these [invoices] are fabricated, and [the contractors] charge less” (C. Reply, pg. 2). Claimant provided no evidence to back up these opinions.

The documents produced by Respondents appear to be valid and nothing in the record suggests that they are fraudulent. Respondents state that they found the excavator “to be extremely dirty and unsuitable for shipping without proper cleaning,” which “crucial detail was not disclosed to [Respondents] beforehand.” R. Supp. Info pg. 1 at no. 1. Evidence in the form of a video and pictures they submitted for the record shows that the excavator had cement and hard materials caked onto it (*see* PF 29; R. Supp. Info pg. 1 at no. 1; and R. Supp. Info, Exs. 7-11), and Claimant does not question the need to wash the excavator, merely the amount charged for the washing. The undersigned has no basis to conclude that the washing charges or any of the other charges under the invoice were excessive, absent evidence showing what the normal rates should have been for those services, which were not provided.

Similarly, Claimant failed to provide any evidence supporting its statement that “[t]he respondents moved from high cubes to open top because they didn’t have the proper equipment to load high cubes.” C. Reply, pg. 2. The evidence indicates that the parties anticipated using 40’ high cube containers but it became necessary to use 40’ open top containers due to the size of the excavator and parts, and that Respondents made Claimant aware of this fact. *See* PF 38; R. Supp. Info pg. 1 at no. 1; and C. Supp. Info, Ex. 8 at pgs. 5-6, 7-10. Respondents assert that in addition to discovering extra parts, “no dimensions or weight were provided by the seller, making accurate cost estimation impossible.” R. Supp. Info, pg. 1. The shipping documents from Hapag-Lloyd describe the cargo as “OOG OW+OH.” C. Supp. Info, Ex. 8 at pgs. 7-10 and R. Supp. Info, Ex. 4 (containing Booking Confirmation for the cargo describing them as “Out of Gauge” cargo, a shipping term that describes cargo that is too large to fit into a standard 40’ high cube container (*see, e.g.,* <https://teuinc.com/blog/what-is-oog-in-shipping>)). It stands to reason that a container built for nonstandard-sized cargo would cost more than a standard-sized container; therefore; it is expected that a quotation based on the use of a standard-size container would increase for the use of nonstandard-size containers. Thus, the record does not reflect that the invoices submitted by Respondents were overstated or fraudulent.

In addition, Claimant alleges that Respondents threatened that if “they did not stop claiming via FMC they would hold [Claimant’s] cargo despite [their] full payment, [which] led to [demurrage and detention] surcharges of nearly USD 2295 in Vietnam.” Claim, pg. 1. Respondents deny that they required Claimants to withdraw complaints before releasing the shipment and note that they released the containers the same day they received Claimant’s payment. They assert, moreover, that Hapag-Lloyd, the vessel operator, imposed the demurrage charges, which they then passed on to Claimant and that the demurrage charges accrued solely due to Claimant’s delay in making the final payment for the shipment. R. Supp. Info, pgs. 2 and 3. R. Reply, pg. 3.

The record shows an email from Respondents to Claimant dated October 15, 2024, stating:

So you mean you confirm and you accept the charges and you are not disrupting this case and you will reverse all complaints against BIC/CFL from all agencies. You are not under pressure we are releasing OBL anyways, Since you advised below, I need a letter from you clearly mentioning your intention. I can request my

owner of the company to help you to release the cargo soonest possible.

C Reply, Ex. 5. The October 15th email from Respondents is concerning in that it could be viewed as coercing Claimants to withdraw their complaints against Respondents in order to obtain a fast release of their cargo. However, the evidence shows that Respondents processed release of Claimant's containers the same day they received payment for freight owed on the containers - October 15, 2024. *See* R. Supp. Info Ex 3 at pg. 5 (showing payment submitted to Claimant's bank for processing on October 11, 2024); Claim Memo, pg. 2 (Claimant stating cargo was released on October 15, 2024). Respondents state that they received the payment on October 15, 2024 (R. Supp. Info, pg. 2). Thus, Respondents did not withhold release of the shipments after Claimant paid the outstanding freight.

Respondents state that Hapag-Lloyd, the ocean carrier, imposed the demurrage charges because Claimant "failed to remit payment on time, which directly resulted in the cargo remaining at the port longer than permitted – triggering demurrage charges." R. Reply, pg. 3. The demurrage invoices from Hapag-Lloyd indicate that the shipments were entitled to three days of free time from October 7, 2024, to October 9, 2024, and that demurrage charges were imposed from October 10, 2024, to October 16, 2024. C. Reply, Ex. 2.2. Although Claimant was timely notified when the vessel carrying the containers would arrive, and had promised to "send the payment well ahead of [the] time [of] cargo arrival" (*see* R. Supp. Info, Ex. 6 at pg. 1 (email from Respondents to Claimant dated October 15, 2024, discussing demurrage on the containers)), the freight payment was not received until October 15, 2024, however, after demurrage had already begun to accrue on the containers. *See* R. Supp. Info Ex 3 at pg. 5 (showing payment submitted to Claimant's bank for processing on October 11, 2024) and Claim Memo, pg. 2 (Respondents stating that the funds were disbursed to them on October 15, 2024). Claimant indicates that it had had trouble obtaining payment from the cargo owner and needed to secure the funds to pay the freight (*see* R. Supp. Info, Ex. 6 at pg. 1 (email response from Claimant to Respondents, stating: "We could not [obtain] payment before cargo arrived due to [the fact that] we need Cnee [to] transfer total amount then [we will send] payment to you shortly"); R. Supp. Info, Ex. 6 at pg. 3 (email from Claimant to Respondents, dated October 10, 2024, stating in pertinent part: "We will paid [sic] the raising charge for Dem/det until Cnee complete the payment. They refuse the raising charge (23,600\$). So we need to find out the financial solution to take this risk . . ."). Therefore, the demurrage charges on the containers were valid and were incurred due to Claimant's failure to timely pay the freight owed.

Accordingly, I do not find that Respondents acted unjustly or unreasonably with regard to the containers at issue.

2. It has not been Shown that the Alleged Conduct Occurs on a Normal, Customary, and Continuous Basis

Further, Respondents provided no evidence indicating that the alleged conduct by Respondents occurs on a normal, customary, and continuous basis. The request for supplemental information specifically instructed Claimant to provide evidence demonstrating this element, stating in relevant part:

Note that in order to prevail in your allegations you must prove that the alleged conduct violates the Shipping Act sections cited. As an example, if you allege that Respondents violated Section 41102(c) of the Shipping Act you must show that the alleged conduct satisfies the elements required to succeed in a section 41102(c) claim for reparations, including by demonstrating with evidence that the alleged conduct occurred “on a normal, customary, and continuous basis,” as required under 46 C.F.R. § 545.4 of the FMC’s Regulations.

RSI pg. 1 at no. 3.

In response, Claimant stated:

Please refer to Exhibit# 1, which contains the original agreement showing the agreed amount of USD 43,400 (with no change in the cargo’s weight, volume, or quantity). Notwithstanding, we were compelled to agree to an extra USD 11,000; And then come to the final rate, please see USD 43,200 + spare part USD 11,000, please see Exhibit #2.1. Despite this increase, the respondent invoice USD 23,600 in a blatant violation of Section 41102(c): Unjust or unreasonable practices related to freight charges by invoicing and demanding. Exhibit#4. Yet, the respondents invoiced us for USD 23,600, a clear violation of Section 41102(c). (See Exhibit# 4)

C. Supp. Info pg. 2 at no. 3.

Thus, Claimant failed to address the requirement to show that the alleged was a “normal, customary, and continuous” practice by Respondents. Further, the record contains no evidence of a similar conduct by Respondents.

Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice. An “occasional transaction” or isolated act is not a “practice.” Two or three incidents over a short time period are not enough to show that the conduct in question is an entity’s normal and customary practice. Even six instances of “unreasonable conduct” carried out over a period of several months involving the same entities have been ruled insufficient to prove that conduct was “uniform or continuous” under § 41102 (or its predecessor, section 17 of the Shipping Act).

Crocus Investments, LLC v. Marine Transp. Logistics, Inc., FMC Docket No. 15-04, 2021 WL 3732849, at *8 (FMC 2021) (internal citations omitted). *See also Ngobros* quoting the Commission: “[F]inding a violation based on a single act or omission, is inconsistent with the original intent of Congress, the rules of statutory construction, and Commission precedent. Properly interpreted, § 41102(c) applies to acts omissions that occur on a normal, customary, and continuous basis.” *Ngobros and Co. Nigeria v. Ocean Cargo Link, LLC*, FMC Docket No. 14-15, 2019 WL 7631708, at *3 (FMC Dec. 17, 2019) (internal citations omitted)

For the foregoing reasons, Claimant’s section 41102(c) claim is dismissed.

D. Respondent BIC Violated Sections 40501

Claimant further alleges that Respondents violated section 40501 by failing to provide clear and accurate billing information, and Respondents failed to adhere to tariff rate publication requirements or NVOCC Negotiated Rate Arrangement guidelines. C. Supp. Info pg. 2.

At section 40501(a)(1), the Shipping Act requires common carriers to “keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established.” 46 U.S.C. § 40501(a)(1).⁸ *See also* 46 C.F.R. § 502.3(a) (requiring all common carriers and conferences to keep open for public inspection in automated tariff systems tariffs showing all rates, charges, classifications, rules, and practices between all points or ports on their own routes and on any through transportation route that has been established.).

Respondent BIC is licensed as and acted here as an NVOCC. It is thus required to comply with the provisions of section 40501(a)(1). However, these provisions do not apply to Respondent CFL, which is an ocean freight forwarder (“OFF”). *See, e.g., Worldwide Relocations, Inc.*, FMC Docket No. 06-01, 2010 WL 11768817 at *29 (ALJ Oct. 9, 2009) (“Since an NVOCC is a common carrier, it must publish tariffs. An OFF is not a common carrier; therefore, it does not publish tariffs.”).

As previously mentioned, the negotiation between Claimant and Respondents for the initial rate for \$43,200 does not qualify as an NVOCC negotiated arrangement (“NRA”) under part 532, which governs NRAs and exempts NVOCC providing service through NRAs from the tariff rate publication requirements. *See* PF 22 and 46 C.F.R. §§ 532.2(a), 532.5, and 532.6. First, Respondent BIC, the NVOCC for the transportation at issue, did not provide electronic access to its rules tariff before entering into the arrangement with Claimant (*see* section 532.4 (“Before entering into NRAs under this Part, an NVOCC must provide electronic access to its rules tariff to the public free of charge.”)). Secondly, it did not invoke an exemption pursuant to part 532 in its rules tariff (*see* section 532.6 (“An NVOCC wishing to invoke an exemption pursuant to this part must indicate that intention to the Commission and the public by a prominent notice in its rules tariff.”)).

BIC did not comply with the instructions in the Request for Supplemental Information to provide “a copy of Respondents’ tariff rates and rules supporting all charges assessed on the shipment at issue, including for the ocean freight charges” (RSI, pg. 3 at no. 15), nor did it reference its tariff rates or rules in any of its discussions regarding the rates it quoted to Claimant. I infer, therefore, that it does not have a published tariff for the transportation, showing its rates and rules. Accordingly, BIC is in violation of section 40501(a)(1).

⁸ Section 41104(a)(2)(A) contains a similar provision forbidding common carriers to “provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract . . . unless excepted or exempted.” 46 U.S.C § 41104(a)(2)(A).

In *CMI*, where the NVOCC similarly failed to publish its tariff rates and rules, the Commission stated:

Commission case law allows shippers to recover reparations for charges paid to NVOCCs operating without a published tariff in violation of § 41104(a) because the NVOCC has collected charges beyond its actual disbursements. Nonetheless, a shipper in that situation has received something it wanted – the transportation of its cargo from A to B. The shipper’s actual injury is thus whatever it paid the NVOCC, less whatever payments were made by the NVOCC that the shipper would otherwise have had to pay. This calculation method is consistent with 46 U. S. C. § 41305(b), which provides that the Commission ‘shall direct the payment of reparations to the complainant for actual injury caused by violation of this part.’ Subtracting from the reparations the pass-through charges the NVOCC paid on the shipper’s behalf also prevents the shipper from unfairly receiving a windfall. This approach is also consistent with the Commissions approach under the Shipping Act of 1986.

CMI Distribution Inc. v. Service by Air, Inc., FMC Docket No. 17-05, 2021 WL 3367603, at *17, 3 FMC 2d 83, 100 (FMC July 26, 2021) (internal citations and quotation marks omitted).

As noted, however, the documents submitted by Respondents indicate that they disbursed a total of \$88,777.83 to vendors on behalf of Claimant but collected only \$77,800 from Claimant; therefore, this finding has no practical effect on Claimant’s request for reparations as there is no evidence of a markup of the vendor charges or of a charge imposed solely by Respondents. Accordingly, no reparations can be awarded.

IV. CONCLUSION

Claimant HPL fails to demonstrate that Respondents violated section 41102(c) or that it incurred damages as a result of BIC’s failure to publish its tariff rates and rules, in violation of section 40501. Accordingly, it is hereby **ORDERED** that its section 41102(c) claim be **DISMISSED WITH PREJUDICE** and that its request for reparations be **DENIED**.

THERESA DIKE  Digitally signed by THERESA
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Date: 2025.08.07 12:51:53 -04'00'

Theresa Dike
Small Claims Officer